CHAPTER 7: OWNER-OPERATORS: SKIN IN THE GAME

My experience as a money manager suggests that entrepreneurial instinct equates with sizable equity ownership. … If management and the board have no meaningful stake in the company — at least10 to 20% of the stock — throw away the proxy and look elsewhere.
— Martin Sosnoff, *Silent Investor, Silent Loser*

DO YOU REMEMBER THE *SEINFELD* EPISODE "THE Stock Tip"?

George tries to convince Jerry to go in on a stock with him. There's this guy, Wilkinson. He's made a fortune in the stock market, George says.

When Jerry wavers, George says, "C'mon. Wilkinson's got millions invested in this stock."

In the end, the stock works out and George makes $8,000. The episode is funny, but it also reflects a bit of stock market wisdom: bet with the people who have skin in the game.

Here I would like to address a favorite topic of mine and one that applies to 100-baggers: the case of the owner-operator — or, investing with people who own a lot of the stock you're buying.

But first, I want to share a particular quirk in this market of ours that makes the topic of owner-operators timely. For that, I want to turn to some of the work done by the money-management firm Horizon Kinetics.

I listened in on a conference call with Peter Doyle, a money manager at the firm. And we had a good discussion about how the